A-OT-FA

CATHOLIC UNIVERSITY OF CENTRAL AFRICA

(UCAC)

FACULTY OF SOCIAL SCIENCES AND MANAGEMENT

NKOLBISSON CAMPUS

RESIT EXAMS 2022/2023

PROBLEM OF ECONOMIC POLICY

Time: 2hrs

Note: Attempt all three questions

Question I. (20 marks)

Write **TRUE** for the correct statement and **FALSE** for the wrong one. Do not copy any statement or write **"F"** or **"T"**

i. Government policies are capable of economic disruption
ii. Government budgets affect private investment
iii. All governments are agents of economic progress
iv. Price defects and externalities are self-correcting
v. Business development is not a goal of economic policy
vi. Policy tools are used to achieve goals of economic policy
vii. Contractionary monetary policy is aimed at reducing aggregate supply in the economy.
viii. A reduction in interest rate reduces importation
ix. All budget polices are generally expansionary
x. Economic policy and politics are not always consistent
xi. Public arbitration can be used to resolve conflicts in policy objectives.
xii. Goals of economic policies are hierarchical
xiii. Most economic policies do not lack clarity or precision
xiv. Deficit financing is borrowing from banks to balance the budget

xv. Trade-offs are sometimes necessary to avert conflicting economic objectives.

Questions II (20 marks)

A) What do you understand by agency theorem? Describe how it is relevant to policy making.

B) Describe the role of politics in economic policy making

Question III. (20marks)

i. Explain clearly how high saving as an economic policy objective conflicts with satisfaction of private consumption wants in the short run.

ii. What are the typical uses of the following instruments of economic policy (give a full description)?

a) Direct taxes on income and profits

b) Credit controls

c) Nationalization

d) Price and rent controls.

GOOD LUCK.

Prof. TAFAH EDIKAT